

Composition of Various Committees of BOD

FOR ASTONEA LABS LIMITED

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COMPOSITION OF VARIOUS COMMITTEES OF BOARD OF DIRECTORS

Introduction

The Board of Directors of the Company has been constituted in accordance with the provisions of the **Companies Act, 2013**, the **SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015** (“SEBI LODR”), and in line with best practices of corporate governance. The Board exercises oversight of the management through its various Committees, which are empowered to focus on specific functional areas and assist the Board in effective decision-making. These Committees operate within clearly defined terms of reference and report to the Board on their activities.

The Committees are constituted to ensure transparency, accountability, and efficiency in governance, and to facilitate compliance with statutory and regulatory requirements.

Currently, the Company has constituted the following **Board Committees**:

1. **Audit Committee**
2. **Stakeholders’ Relationship Committee**
3. **Nomination and Remuneration Committee**
4. **Corporate Social Responsibility Committee**

1. AUDIT COMMITTEE

Purpose:

The Audit Committee is responsible for oversight of the Company’s financial reporting, internal controls, risk management, and audit processes, as mandated under **Section 177 of the Companies Act, 2013** and **Regulation 18 of SEBI LODR**, read with Part C of Schedule II.

Composition:

Name	Designation in Committee	Nature of Directorship
Karan Vir Bindra	Chairperson	Independent Director
Ashish Gulati	Member	Managing Director
Salina Chalana	Member	Independent Director

(a) Quorum and Meetings:

The Audit Committee shall meet at least four times in a year and not more than one hundred and twenty days shall elapse between two meetings. The quorum shall be either two members or one- third of the members of the audit committee whichever is greater, but there shall be a minimum of two independent members present.

(b) Roles and responsibilities:

The role and responsibilities of the Audit Committee shall include the following:

- (a) Oversight of the Company's financial reporting process and the disclosure of its financial information to ensure that the financial statement is correct, sufficient, and credible.
- (b) Recommending to the Board, the appointment, re-appointment and, if required, the replacement or removal of the statutory auditor and the fixation of audit fees.
- (c) Approval of payment to statutory auditors for any other services rendered by the statutory auditors.
- (d) Reviewing, with the management, the annual financial statements before submission to the board for approval, with particular reference to:**
 - (i) Matters required to be included in the Director's Responsibility Statement to be included in the Board's report in terms of clause I of sub-section 3 of Section 134 of the Companies Act, 2013
 - (ii) Changes, if any, in accounting policies and practices and reasons for the same
 - (iii) Major accounting entries involving estimates based on the exercise of judgment by management.
 - (iv) Significant adjustments made in the financial statements arising out of audit findings.
 - (v) Compliance with listing and other legal requirements relating to financial statements.
 - (vi) Disclosure of any related party transactions
 - (vii) Qualifications in the draft audit report.
- (e) Reviewing, with the management, the half-yearly financial statements before submission to the Board for approval.
- (f) Reviewing, with the management, the statement of uses / application of funds raised through an issue (public issue, rights issue, preferential issue, etc.), the statement of funds utilized for purposes other than those stated in the offer document/notice and the report submitted by the monitoring agency monitoring the utilization of proceeds of a public or rights issue and making appropriate recommendations to the Board to take up steps in this matter.
- (g) Review and monitor the auditor's independence and performance, and the effectiveness of the audit process.
- (h) Approval or any subsequent modification of transactions of the company with related parties.
- (i) Scrutiny of inter-corporate loans and investments.
- (j) Valuation of undertakings or assets of the company, wherever it is necessary.
- (k) Evaluation of internal financial controls and risk management systems.
- (l) Reviewing, with the management, the performance of statutory and internal auditors, and the adequacy of the internal control systems.
- (m) Reviewing the adequacy of the internal audit function, if any, including the structure of the internal audit department, staffing and seniority of the official heading the department, reporting structure coverage, and frequency of internal audit.
- (n) Discussion with internal auditors on any significant findings and follow up thereon.

- (o) Reviewing the findings of any internal investigations by the internal auditors into matters where there is suspected fraud or irregularity or a failure of internal control systems of a material nature and reporting the matter to the board.
- (p) Discussion with statutory auditors before the audit commences, about the nature and scope of the audit as well as post-audit discussion to ascertain any area of concern.
- (q) To look into the reasons for substantial defaults in the payment to the depositors, debenture holders, shareholders (in case of non-payment of declared dividends), and creditors.
- (r) To review the functioning of the whistle-blower mechanism.
- (s) Approval of appointment of CFO (i.e., the whole-time Finance Director or any other person heading the finance function or discharging that function) after assessing the qualifications, experience & background, etc. of the candidate.
- (t) Carrying out any other function as is mentioned in the terms of reference of the Audit Committee.

Explanation (i): The term “related party transactions” shall have the same meaning as contained in the Accounting Standard 18, Related Party Transactions, issued by The Institute of Chartered Accountants of India.

Explanation (ii): If the Issuer has set up an audit committee pursuant to the provision of the Companies Act, the said audit committee shall have such additional functions/features as is contained in this clause.

Further, the Audit Committee shall mandatorily review the following information:

1. Management discussion and analysis of financial condition and results of operations.
2. Statement of significant related party transactions (as defined by the audit committee), submitted by management.
3. Management letters/letters of internal control weaknesses issued by the statutory auditors.
4. Internal audit reports relating to internal control weaknesses.
5. The appointment, removal, and terms of remuneration of the Chief internal auditor shall be subject to review by the Audit Committee.

2. STAKEHOLDERS’ RELATIONSHIP COMMITTEE

Purpose:

This Committee ensures the protection of shareholder interests, addresses investor grievances, and reviews policies for effective shareholder communication, as required under **Section 178 of the Companies Act, 2013** and **Regulation 20 of SEBI LODR**, read with Part D of Schedule II.

Composition:

Name	Designation in Committee	Nature of Directorship
Salina Chalana	Chairperson	Independent Director
Karan Vir Bindra	Member	Independent Director
Ashish Gulati	Member	Managing Director

a) Tenure:

The Stakeholder's Relationship Committee shall continue to function as a committee of the Board until otherwise resolved by the Board, to carry out the functions of the Stakeholder's Relationship Committee as approved by the Board.

b) Quorum and Meetings:

The quorum necessary for a meeting of the Stakeholders Relationship Committee shall be three directors with at least two being an independent director. The Stakeholder Relationship Committee shall meet at least once in a year. Since the formation of the committee, no Stakeholders Relationship Committee meetings have taken place.

(c) Scope and terms of reference:

The Stakeholders' Relationship Committee shall inter alia undertake the following roles:

- (i) Resolving the grievances of the security holders of the Company including complaints related to transfer/transmission of shares, non-receipt of annual report, non-receipt of declared dividends, issue of new/duplicate certificates, general meetings, etc.
- (ii) Review of measures taken for effective exercise of voting rights by shareholders.
- (iii) Review of adherence to the service standards adopted by the Company in respect of various services being rendered by the Registrar & Share Transfer Agent.
- (iv) Review of the various measures and initiatives taken by the Company for reducing the quantum of unclaimed dividends and ensuring timely receipt of dividend warrants/annual reports/statutory notices by the shareholders of the company.
- (v) Such other matters as may be required to be carried out by the Stakeholders Relationship Committee pursuant to amendment under any law, from time to time.

3. NOMINATION AND REMUNERATION COMMITTEE

Purpose:

Formed under **Section 178 of the Companies Act, 2013** and **Regulation 19 of SEBI LODR**, this Committee oversees appointment, remuneration, and performance evaluation of Directors, Key Managerial Personnel (KMP), and senior management.

Composition:

Name	Designation in Committee	Nature of Directorship
Salina Chalana	Chairperson	Independent Director
Akash Arora	Member	Independent Director
Karan Vir Bindra	Member	Independent Director

(a) Tenure:

The Nomination and Remuneration Committee shall continue to be in function as a committee of the Board until otherwise resolved by the Board, to carry out the functions of the Nomination and Remuneration Committee as approved by the Board.

(b) Quorum and Meetings:

The quorum necessary for a meeting of the Nomination and Remuneration Committee shall be either two members or one third of the members of the committee, whichever is greater, with at least one being an independent director. The Nomination and Remuneration Committee shall meet at least once in a year.

(c) Scope and terms of reference:

The scope of the Nomination and Remuneration Committee shall include but shall not be restricted to the following:

- (i) Formulation of the criteria for determining qualifications, positive attributes, and independence of a director and recommend to the Board a policy, relating to the remuneration of the directors, key managerial personnel, and other employees.
- (ii) Formulation of criteria for evaluation of Independent Directors and the Board.
- (iii) Devising a policy on Board diversity.
- (iv) Identifying persons who are qualified to become directors and who may be appointed in senior management in accordance with the criteria laid down and recommend to the Board their appointment and removal. The company shall disclose the remuneration policy and the

evaluation criteria in its Annual Report.

- (v) To recommend to the Board, the remuneration packages i.e., salary, benefits, bonuses, perquisites, commission, incentives, stock options, pension, retirement benefits, details of fixed component and performance linked incentives along with the performance criteria, service contracts, notice period, severance fees etc. of the executive directors.
- (vi) To implement, supervise, and administer any share or stock option scheme of our Company; and
- (vii) To attend to any other responsibility as may be entrusted by the Board within the terms of reference.

4. CORPORATE SOCIAL RESPONSIBILITY (CSR) COMMITTEE

Purpose:

This Committee oversees the planning, implementation, and monitoring of the Company's CSR initiatives as per **Section 135 of the Companies Act, 2013** and the **Companies (CSR Policy) Rules, 2014**.

Composition:

Name	Designation in Committee	Nature of Directorship
Salina Chalana	Chairperson	Independent Director
Pooja Singh	Member	Executive Director
Vikrant	Member	Executive Director

(a) Tenure:

The Corporate Social Responsibility Committee shall continue to be in function as a committee of the Board until otherwise resolved by the Board, to carry out the functions of the Corporate Social Responsibility Committee as approved by the Board.

(b) Quorum and Meetings:

The Committee shall meet as and when the need arises for a review of CSR Policies. The quorum for the meeting shall be one-third of the total strength of the Committee or two members whichever is higher.

(c) Scope and terms of reference:

The terms of reference of the Corporate Social Responsibility Committee of our Company are as follows:

- Formulate and recommend to the Board, a CSR policy which shall indicate the activities to be undertaken by the Company as specified in Schedule VII of the Companies Act, 2013.
- Review and recommend the amount of expenditure to be incurred on the activities to be undertaken by the Company.
- Annually review the CSR Policy and associated frameworks, processes and practices of the Company and make appropriate recommendations to the Board.
- Monitor if the Company is taking appropriate measures to ensure the successful implementation of CSR activities.
- Formulate and monitor the implementation of the CSR annual action plan, in accordance with the Company's CSR policy and provisions of applicable laws from time to time.
- Monitor the administrative overheads in pursuance of CSR activities or projects or programs so that they do not exceed the prescribed thresholds.
- Such other matters as may be required to be carried out by the Corporate Social Responsibility Committee pursuant to amendment under any law, from time to time.

The Board of Directors, through its various Committees, ensures that the Company operates with high standards of transparency, accountability, and governance. Each Committee functions within the framework of its clearly defined terms of reference, exercises oversight in its functional domain, and reports its findings and recommendations to the Board to facilitate informed decision-making.

The Committees collectively assist the Board in:

- Enhancing the effectiveness of oversight on financial reporting, internal controls, and risk management (Audit Committee).
- Protecting the interests of shareholders and ensuring timely and effective resolution of investor grievances (Stakeholders' Relationship Committee).
- Formulating and reviewing policies on appointment, remuneration, and performance evaluation of Directors, Key Managerial Personnel, and senior management (Nomination and Remuneration Committee).
- Planning, implementing, and monitoring the Company's Corporate Social Responsibility initiatives in compliance with applicable laws (CSR Committee).

The functioning of these Committees is in line with the requirements of the **Companies Act, 2013, SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015**, and other applicable statutory and regulatory provisions. Each Committee meets as required, maintains

minutes of proceedings, and ensures that matters within their scope are escalated to the Board for final review and approval.

Overall Governance Impact:

- The Committees strengthen the Board's ability to make informed decisions, reduce operational and financial risks, and ensure compliance with legal and regulatory obligations.
- They facilitate transparency in reporting, enhance shareholder confidence, and align the Company's operations with best practices in corporate governance.
- By clearly defining roles, responsibilities, and oversight mechanisms, the Committees ensure accountability at all levels of management and Board oversight.

The Board periodically reviews the composition, terms of reference, and performance of each Committee to ensure they continue to meet the objectives of effective governance and regulatory compliance.

